Town Hall: A 100 MW AI Data Center

Day 4: Infrastructure, Cost Allocation, and Local Consent

Scenario. The fictional city of Riverton must decide whether to approve a 100 MW AI data center. The project is economically attractive but would arrive faster than planned generation and grid upgrades. All figures below are stylized but plausible and are designed for analysis rather than prediction.

Source: IEA, *Key Questions on Energy and AI* (2026), especially its discussion of grid bottlenecks, cost allocation, flexible connections, disclosure, and local social acceptance.

The Five Teams

1. AI data-center developer
2. Electric utility and regional grid operator
3. Riverton City Council and mayor's office
4. Neighborhood, ratepayer, and environmental coalition
5. Jobs, business, and local-institutions coalition

Decision rule. Riverton may approve, approve with conditions, delay, or reject. A conditional approval may contain **no more than three major conditions**. For each condition, the Council must identify who pays, the measurable requirement, who monitors it, and the consequence for noncompliance. The developer may accept the final package or withdraw the project.

Preparation — 10 Minutes

Stakeholder teams (1, 2, 4, and 5) should record five things: their preferred decision, two must-haves, one concession, one question for another team, and their red line. The Council should rank its three most important criteria, prepare one question for each stakeholder, and sketch one possible decision package. Do not read another team's role card.

Town Hall — 25 Minutes

1. **Stakeholder openings (4 minutes):** Teams 1, 2, 4, and 5 receive one minute each. The Council listens and takes notes.
2. **Council-led hearing and negotiation (12 minutes):** The Council questions teams; stakeholders may challenge claims, propose trades, and respond to alternatives.
3. **Private caucus and final offers (4 minutes):** Teams may confer and revise positions. Each stakeholder then gives the Council a one-sentence final offer or red line.
4. **Decision and response (5 minutes):** The Council announces and explains its decision. If approval is conditional, it states no more than three conditions. The developer then accepts the package or withdraws.

Common Factsheet

Project	100 MW initial load, with a contractual option to expand to 180 MW after four years. At full initial use, annual electricity consumption could approach 876 GWh.
Grid	Regional reserve margin is 11%. A new substation and transmission reinforcement are estimated at \$75–140 million. Standard interconnection is projected to take four to six years. A faster non-firm connection is possible if the center accepts curtailment during tight conditions.
Power proposal	The developer proposes grid power plus a renewable power-purchase agreement (PPA), batteries, and temporary onsite gas generation. The PPA matches annual consumption but does not necessarily supply clean electricity in every hour.
Water and heat	Estimated water use is 250,000–450,000 gallons per day, depending on cooling design and weather. Summer restrictions already occur during two to four weeks of a typical year.
Economy	1,100 construction jobs for two years; 45–65 permanent jobs; and projected **gross** local tax revenue of \$5–8 million annually before incentives. The developer requests property-tax relief worth \$60 million over ten years.
Community	The site is 350 yards from the nearest neighborhood. Concerns include noise, diesel-generator testing, construction traffic, water use, and electricity rates.
Cost allocation	The utility proposes a special tariff but has not resolved how much of the grid upgrade would be recovered from the developer versus other customers.

Debrief

1. Who receives the benefits, and who bears the infrastructure and reliability risks?
2. Which conditions changed teams' willingness to support the project?
3. What could not be solved through negotiation, and why?
4. What made this work—or fail—as a simulation?